PARTNERSHIP

A. GENERAL

Under the present legislation partnerships are not taxed as such: the members are, of course, liable as separate individuals in respect of their appropriate share of profits. In practise however the taxable income of the partnership is first determined on the basis that it is a separate taxable person and the profits apportioned among the partners according to their rights to share in the partnership profits.

The essential conditions for a partnership are:

i) Each partner brings or binds himself to bring something into it, whether it be money or labour or skill,

ii) The business should be carried on for the joint benefit of all the partners,

iii) The object should be to make profit,

iv) The contract between the partners should be a legitimate contract.

B. ACCRUAL OF PARTNERSHIP PROFITS

Section 10(2) of the Income Tax Act deems income accruing to a partnership to have accrued to the respective partners, on the accounting year end or date of dissolution of the partnership, in proportion to the partners' profit sharing ratio.

C. CAPITAL ALLOWANCES 4TH SCHEDULE

Paragraph 308, page 181 of the Income Tax Handbook gives examples of the calculation of allowances where there is a transfer of assets to a partnership or the introduction of new partners or the dissolution of the partnership.

The wear and tear allowances on plant etc, are to be calculated in accordance with the accounts submitted, i.e. if the accounts submitted cover 8 months then 8 months wear and tear must be granted.

D. DEATH OF A PARTNER.

In legal opinion Number 8 it was stated 'Nearly all the books say, and in this they are supported by cases cited, that a partnership is not dissolved by the death of a partner – when the partnership agreement clearly provides for its continuance for the benefit of the estate of the deceased, and the deceased, and the deceased partner by his will has authorised such a continuance'

In these circumstances though a new partnership comes into existence, the death of a partner cannot lead to any recovery or recoupment of earlier Special Initial or Wear and Tear Allowances. Where however, these conditions do not apply the partnership is dissolved and recoupments will be considered. In both cases that deceased partner will be taxed on profits, which have accrued to him from the 1st January to date of death. The remaining partner's position is covered by the proviso to section 37(15) of the Income Tax Act.

E. TREATMENT OF EXPENDITURES

It is important to show how expenditure incurred by the partnership is treated in the hands of the respective partners where the partners are the ones charging the partnership.

EXPENDITURE INCURRED BY THE PARTNERSHIP	TREATMENT IN THE HANDS OF THE	
	PARTNERSHIP	RESPECTIVE PARTNER
✓ Partner's salary	Allowable	Taxable
✓ Joint life policies	Not allowable	Not taxable
✓ Partner's life policy – partnership is the beneficiary.	Not allowable	Not taxable
✓ Partner's life policy – ceded to the ~~beneficiary~~ partnership.	Not allowable	Not taxable
✓ Partner's life policy – partner is the beneficiary.	Allowable	Taxable
✓ Interest on Capital	Allowable	Taxable
✓ Drawings	Not allowable	Not Taxable
✓ Rents payable to a partner	Allowable	Taxable

✓ Sports subscriptions	Allowable	Taxable
✓ Other Club subscriptions	Allowable	Not taxable if substantially patronised by business and professional persons
✓ Medical aid contributions	Allowable	Taxable as the exemption only applies to employees.
✓ Attendance at trade mission or convention (Section 15(2)(w)	Allowable to a maximum of ~~$3,600~~ 2 500 USD per partner. in attendance	Not Taxable
✓ Voluntary payments to former partner or dependant thereof who has resigned from the partnership because of ill-health, infirmity or old age, (Section 15(2)(q)	Allowable to a maximum of $3,000 per former partner and $2,000 per dependant(s) of one former partner.	Tax the full amount
✓ Partner's private use of a motor vehicle.	Allowable	Taxable
✓ Passage benefits – partner's business trip where he uses the opportunity to take a holiday after the business	Allowable	Not Taxable – refer to a Harare objection of P J A Cunningham (84/74)
✓ Passage benefits – partnership bears the cost of a holiday for a partner.	Allowable	Taxable